BUS 606: STRATEGIC MARKETING

COURSE PROJECT

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BRAND WIKI

IDAHO DEPARTMENT OF COMMERCE. (2021). *TDS CITY CENTER WEST AT NIGHT*. RETRIEVED DECEMBER 4, 2024, FROM HTTPS://COMMERCE.IDAHO.GOV/CONTENT/UPLOADS/2020/08/TDS-CITY-CENTER-NIGHT-1-SCALED.JPG

BRAND: TDS TELECOMMUNICATIONS LLC.

TDS Telecom's promise is to deliver advanced, high-quality communications with a commitment to customer satisfaction.

- Provider of high-speed internet broadband up to 8 Gigabit [1]
- Provider of television services [2]
- Provider of phone services to home [3]
- Provider of cell service through TDS Mobile [4]
- Provider of device security solutions [5]
- Provider of fiber carrier services and points of presence for national peering [6]
- Provider of television news broadcasting in certain markets [7]

https://tdstelecom.com/

TDS Telecom was founded in 1969 by LeRoy T. Carlson through the acquisition of telephone companies formed by local families, farmers, and co-ops. TDS Telecom is a subsidiary of TDS Inc, which owns US Cellular and the Suttle-Straus printing service.

[1, 2, 3, 4, 5] TDS TELECOM, (2024). [6] PEERINGDB, (2024). [7] HELLO TDS, (2024).

TDS BRAND ESSENCE AND IDENTITY

Essence:

TDS essence is defined by its mission to create a better world through telecommunication services.[1] It does this by:

- Investing and providing fiber-optic networks services to rural and underserved America[2]
- Teaming up with communities, providing internet for education[3], and promoting volunteerism.[4]
- Fostering Diversity, Equity, and Inclusion in its culture.[5]
- Maintaining a commitment to Environmental, Social, and Governance (ESG) efforts.[6]

Identity:

- TDS identity is defined by:
  - Customer experience. TDS employees are trained to provide more interpersonal service than its larger competitors.
  - TDS prioritizes providing advanced technology to small communities.
  - TDS prioritizes having the latest advanced technologies to stay on the cutting-edge.

[1,3] TDS TELECOM, 2024. [2] TDS TELECOM, 2023. [5, 6] TDS INC., 2024.

Strategy:

TDS' strategy is being customer focused while growing through market expansion, investment in fiber-optic infrastructure, and service diversification:

- TDS serves rural geographies that are underserved. It recently opened new markets in Idaho[1] and Montana.[2]
- TDS increased its serviceable addresses by over 200,000 in 2023.[2]
- TDS footprint increased by 7% as of November 2022.[3]
- TDS deployed fiber to 40% of its wireline addresses in 2021.[4]

Positioning:

TDS positions themselves by providing high-speed reliable broadband services.

TDS positions themselves by geographic region selling cable on the west coast in Oregon, wireline in other markets, and fiber everywhere.

TDS position themselves by demographics targeting primarily rural and suburban households and businesses. They have begun targeting multi-dwelling units.

TDS BRAND STRATEGY AND POSITIONING

[1, 3] TDS TELECOM, 2022. [2] TDS TELECOM, 2023. [4] TDS, INC., 2021.

PESTEL ANALYSIS

Political

- TDS receives grants from the FCC through the Connect America Fund (CAF).[1]
- TDS is affected by geopolitical issues that raise cost of electronics and materials.[2]
- TDS is obedient to demands from cybersecurity for sake of security and privacy.[3]
- Telecom is governed by standards to allow other carriers to connect.[4]
- Telecom is a protected resource under national security.[5]

Economic

- The telecom market is highly competitive affecting prices and market penetration.
- US economic downturns affects how much customers are willing to pay for services.
- High interest rates makes borrowing difficult for expensive network gear to continue growth.

Social

- TDS focuses on rural markets where penetration is lower, but demand increasing.
- The change of business from onsite to remote and to hybrid work styles affects the need for reliable internet.
- As people move hard line internet and cable television to mobile internet and streaming this affects purchase decisions.[6]
- Many costly fiber cuts occur from drunk driving, digging, and large lawn mowers.[7]

Technological

- Fiber-optics installation is expensive. New technologies like g.Fast are being developed to reuse older copper for end runs.[8]
- Changes from cable television to streaming requires TDS to change how it sells TV products.
- StarLink from Elon Musk is creating new competition in rural areas.[9]
- AI and machine learning is affecting all manners of business.

Environment

- Telecom is affected by natural disasters and severe weather such as hurricanes, tornadoes, lightning, ice storms, floods, and fire.
- TDS recently was impacted by a large fire in Ruidoso, NM.[10]
- Fiber is affected by rodents and squirrels chewing on cables on poles and in cabinets.[11]
- Costs to mitigate the affects of the environment and create redundancy are costly.

Legal

- Telecom companies must adhere to regulations put forth by both the FCC and Public Service or Utility Commissions (PSC/PUC).[12]
- TDS must meet with local community boards and comply with municipal laws when moving into markets for expansion.

[1] TDS TELECOM, 2017. [2] GRAND VIEW RESEARCH, 2024. [3] TDS BUSINESS, 2024. [4] FCC, 2024. [5] FEDERAL REGISTER, 2021. [6] CORDCUTTING, 2023. [7] COMMERCIAL ELECTRONICS INC. [8] LIGHTWAVE, 2020. [9] MARSDEN, 2024. [10] TDS TELECOM, 2024. [11] MADRIGAL, 2011. [12] WILKINSON, BARKER, KNAUER, (2024).

TDS MISSION, VISION, AND VALUE

Mission:

"TDS' mission is to create a better world through its communications services."[1]

Vision:

TDS doesn't explicitly state its vision publicly. It is inferred from their mission statement and about pages that they seek to be a leader in connecting people, businesses, and communities through innovative, reliable, and future-forward communication solutions that empower progress and foster a digitally inclusive world.

Values:

- Superior customer service by exceeding customer expectations.[2]
- Commitment to communities they serve by contributing to economic development.[2]
- Excellence through innovation, creativity, and ongoing development.[2]
- People centric culture and the understanding that individuals are central to daily operations.[2]
- Integrity and respect through diversity of thought.[2]

[1] TDS TELECOM, 2024. [2] TDS INC., 2024.

Strengths (Internal)

- Diverse service portfolio including Internet, TV, phone and now cellular for both business and residential.
- Established market presence in rural and suburban markets.
- 100Gbps+ Fiber backed infrastructure
- Diversity, equity, and inclusion centered culture.
- Continued yearly growth.
- Offers training and educational benefits to employees.

Weaknesses (Internal)

- Contract requirements makes customers feel locked in.
- High operational costs to maintain speed, redundancy, and reliability.
- Need for continual technological advancement requires continual investment.
- Need for highly trained technical employees to operate makes employee churn costly.

Opportunities (External)

- Rural broadband expansion markets are plentiful and backed by the Connect America Fund (CAF).
- Strategic partnerships are available such as their relationship with Nokia brands.

Threats (External)

- Global and US economic changes affect equipment costs.
- Intense competition from larger telecoms such at AT&T, Lumen, Verizon, and T-Mobile.
- Rapid technology changes lead to continual investments.
- Subject to extensive regulations.
- Parent company is traded publicly and owns large portions of US Cellular, therefore stock market can influence behavior and spend.
- Speed test issues reported on comparison sites.
- Severe weather and fires destroy backbone and cause outages.

TDS Traded 5 Year Data

Following the moving average in red it can be observed that TDS stock moves in relation to major markets.

The square D denotes that TDS pays regular consistent dividends. This is even in periods of economic downturn.

YAHOO!FINANCE. (2024). TELEPHONE AND DATA SYSTEMS, INC. (TDS). RETRIEVED DECEMBER 3, 2024 FROM HTTPS://FINANCE.YAHOO.COM/QUOTE/TDS/CHART/.

TDS Situation and Strategy Factors

1. Fiber optic network expansion into new rural and suburban markets.
2. Continuous technological advancements.
3. Regulatory compliance with the FCC and local Public Services.
4. Customer demands for high-speed internet to support streaming content.
5. Market Competition with larger competitors AT&T, Lumen, Comcast, Verizon, and T-Mobile.
6. Financial health through balancing profitability with capital expenditures.
7. Talent acquisition of top tier technical and diverse talent.
8. Managing economic changes such as inflation, interest rates, tariffs, and consumer spending patterns from US and global policy changes.
9. Strategic partnerships with technical vendors.

[1] MICROSOFT, 2024. [2] NOKIA, 2024. [3] CISCO, 2024. [4] ERICSSON, 2024.

SUGGESTED TDS MARKETING STRATEGIES

Suggestion #1: Focus on strategic partnerships

- Work with big vendors to help finance the moves into the new markets using their equipment. Have them train technicians as part of the deal with guaranteed continuous improvement.

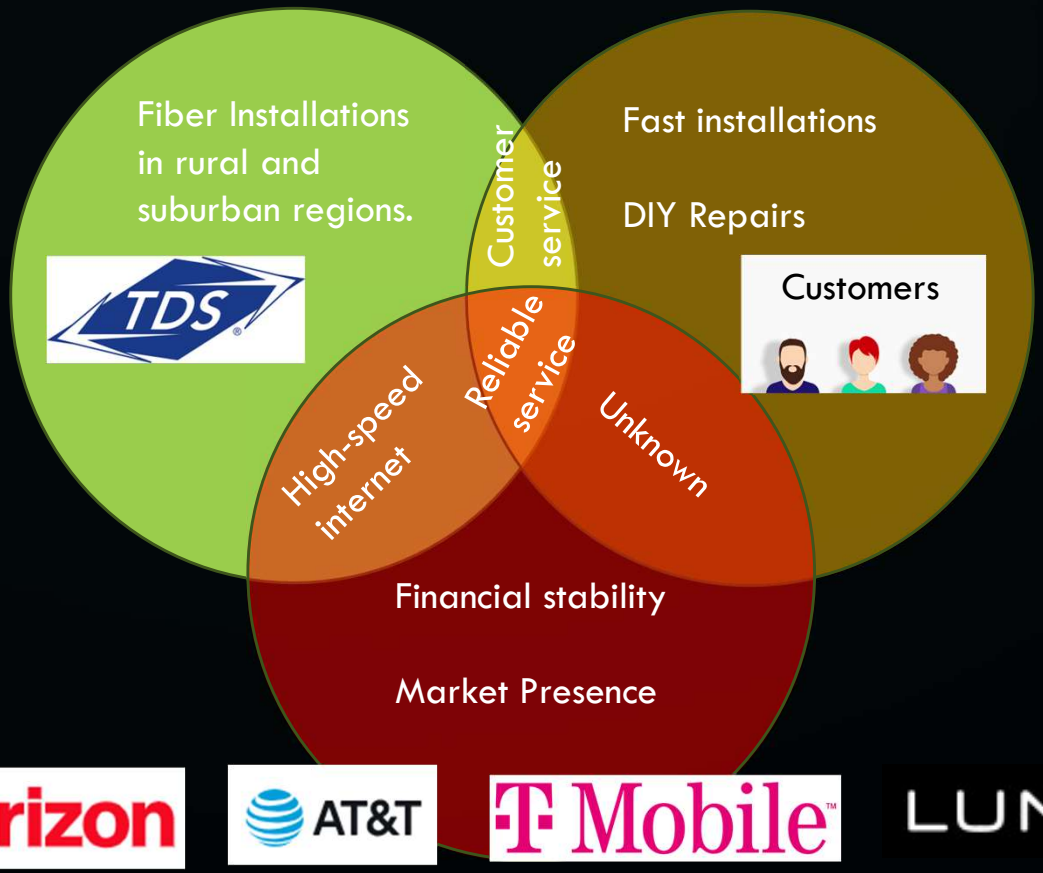
Suggestion #2: Finance growth through the Connect America Fund

- Apply for grants through the FCC for new markets to subsidize the costs of expansion.

Suggestion #3: Focus on customer service

- TDS was founded on customer service. TDS needs to focus on it and increase brand loyalty.

THE BIG PLAY!



verizon AT&T T-Mobile LUMEN

[1] TDS TELECOM, 2024. [2] VERIZON, 2024. [3] AT&T, 2024. [4] T-MOBILE, 2024.

Big Play Strategy:

From the previous Venn diagram knowing what TDS does well, comparing what customers want, versus what other providers provide, the intersection shows TDS should focus on customer service, fast installations, and do-it-yourself repair services to minimize repair calls. Service reliability is center to all and may be considered risky zone where TDS battles its competitors, but all telecommunications are dependent on it. Finding means like AI, machine learning, and automation to do this battle will help keep the competitor at bay.

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